

Group Assignment 1

What Does Great Management Mean?

Lessons from the Caravanserai: Purpose, Equity, and Conscious Business

Team A-7 “Caravanserai”

Group Name and Members

Our name: Caravanserai

A caravanserai was a roadside inn on the ancient Silk Road. Every caravan that arrived — from China, Persia, India or the steppe — received the same shelter, water and protection. Merchants who would never have trusted one another on the open road traded safely under one roof, because the inn was fair to all of them. The caravanserai did not prosper by squeezing its guests. It prospered because every traveler wanted to come back.

We chose this name for two reasons. First, most of our members come from the historic Silk Road region, so it is part of our shared heritage. Second, it is a working model of this course's motto, **Peace through Commerce**: an enterprise that exists to serve everyone who passes through it, and that succeeds precisely because it does. Prof. Park calls this attitude **enlightened self-interest** (Park, 2026a). The caravanserai is our image for it, and it runs through this entire report.

Members

Name	Major	Learning goal for this course
Abulkosimov Shakhriyor (Scott)	Business Administration (Finance)	To learn how finance and strategy can account for social and environmental value, as preparation for building a consulting practice in Central Asia.
Akhmedov Mirsaid Nodirovich	[major]	[1-line learning goal]
Narzikulova Mukaddas	Business Administration (Finance)	To effectively and efficiently achieve value maximization by taking into account the stakeholders, communities and nature well-being.
Kenjebaeva Janat Parakhatovna	[major]	[1-line learning goal]
Sherova Sogdiana Ikrom kizi	[major]	[1-line learning goal]
Artag Buyandari	[major]	[1-line learning goal]
Turdubekov Nurmukhamed Emilovich	[major]	[1-line learning goal]

1. Introduction

In December 1950, a cargo ship called the Meredith Victory lay in the port of Hungnam as Chinese forces closed in. She was designed for a crew of 35 and twelve passengers. Captain Leonard LaRue loaded refugees instead — more than 14,000 Korean civilians. She reached Pusan on Christmas Eve and disembarked them on Christmas Day. Five babies were born during the voyage, and it was completed without the loss of a single life;

the U.S. government later awarded her the Gallant Ship Award for "one of the greatest marine rescues in the history of the world" (U.S. Maritime Administration, n.d.). Prof. Park presents this story under the title "Ship of Miracles, Christmas Day 1950," and uses it to ask the two questions from which responsible management begins: *Who are we?* and *What are our footsteps on Earth?* (Park, 2026a).

Measured by cargo efficiency, LaRue's decision was indefensible. Measured by purpose, it was the only decision available. Business faces a version of the same test. For much of the twentieth century the dominant answer was Milton Friedman's (1970): the social responsibility of business is to increase its profits. On 19 August 2019, however, 181 CEOs of the Business Roundtable signed a Statement on the Purpose of a Corporation committing their firms to customers, employees, suppliers, communities and shareholders together, formally displacing the shareholder-primacy language the organization had used since 1997 (Business Roundtable, 2019). The World Economic Forum's Davos Manifesto 2020 made the same move, defining the purpose of a company as engaging *all* its stakeholders in shared and sustained value creation (Schwab, 2019) — the definition Prof. Park puts on the slide titled "Purpose of a Business Corporation" (Park, 2026a).

The shift is not only moral. Deloitte's Shift Index finds that the return on assets of U.S. public firms has fallen to roughly one quarter of its 1965 level, despite decades of shareholder-value management (Hagel, Seely Brown & Davison, cited in Denning, 2016). And Prof. Park devotes a slide to the "low level of trust toward business organizations," the reputational deficit that this era of management has produced (Park, 2026a). A paradigm that fails on its own chosen metric while losing public trust is a paradigm under pressure.

This report presents the collective conclusions of Team A-7 on the three discussion questions, reaching over 10 group discussions in which we disagreed before we agreed. Our core argument is that **great management means doing the right things, doing them right, and doing them fairly for everyone who travels with the firm**. Specifically: (1) the ultimate purpose of the corporation is the common good, with profit as its necessary condition rather than its end; (2) of effectiveness, efficiency and equity, equity matters most, because it is the ground the other two stand on; and (3) conscious business means a firm that is aware of both its purpose and its impact, and acts on that awareness — including when the evidence says it was wrong.

2. Q1 — What Is the Ultimate Purpose of Business Corporations?

2.1 The two answers on offer

The **shareholder view** holds that managers are agents of the owners and should maximize their returns within the rules of the game; social goals are the business of governments and individuals (Friedman, 1970). The **stakeholder view** holds that a company exists to engage all its stakeholders in shared and sustained value creation (Schwab, 2019). Prof. Park's lecture sets the two side by side as the twentieth- and twenty-first-century paradigms: shareholder capitalism maximizes shareholder value exclusively and pushes costs onto others as externalities, a zero-sum game rooted in a divided world view; stakeholder capitalism creates social and shareholder value simultaneously through Creating Shared Value, a positive-sum game rooted in an integrated world view (Park, 2026a).

Responsible management, in Park's definition, is "the newly emerging paradigm which promotes healthy and sustainable profits of a company while being conscious about the ultimate mission of business of promoting common good of human community, and maintaining sustainable ecological environment" (Park, 2026a).

2.2 Our position: the common good is the purpose; profit is the condition

Our group concluded that **the ultimate purpose of a corporation is to contribute to the common good by creating real value for its stakeholders, and that profit is the necessary condition and the evidence that this value is real.** Profit is to a company what breathing is to a person: you cannot live without it, but you do not live for it. Three arguments took us there.

- **The firm is an open system.** Park (2026a) defines the business organization as a goal-directed, social entity with an identifiable boundary — and, critically, as an "open and dynamic system" that draws inputs from its economic, political, socio-cultural and natural environments and returns outputs to them. The economic system sits inside the social system, which sits inside the natural environment. A subsystem that maximizes itself by degrading its host is not maximizing anything; it is consuming its own foundation.
- **Legitimacy is a resource, not a luxury.** A company operates on a licence granted by customers, employees, regulators and communities. Where trust in business is low, every transaction costs more and every regulation arrives sooner. Social value is not decoration on top of the business; it is how the business earns the right to keep operating.
- **Profit maximization underdelivers on profit.** The Shift Index finding — U.S. corporate ROA at about a quarter of its 1965 level — shows that narrow short-term optimization does not reliably produce even the single outcome it promises (Denning, 2016). Profit follows from value creation; it cannot substitute for it.

2.3 Complementary or contradictory?

Our discussion did not end in a comfortable "complementary." Our honest answer is that **profit and social value are complementary in the long run but frequently contradictory in the short run, and responsible management is the discipline of managing that tension rather than pretending it does not exist.**

The complementary case is strong and measurable. Porter and Kramer (2011) argue that firms can create economic value by addressing social needs — Creating Shared Value. Porter's formulation, which Prof. Park reproduces on his slides, captures the whole shift: the old paradigm made profit *while causing* social problems; the new paradigm made profit *while solving* them (Park, 2026a). Unilever provides the numbers. Its Sustainable Living Brands grew 69% faster than the rest of the business in 2018, up from 46% in 2017 (Unilever, 2019), and delivered a record 75% of the company's total turnover growth that year (edie, 2019).

But the contradiction is real, and our group thinks a report that ignores it is not credible. On 26 June 2020, Danone became the first listed French company to adopt the legal status of *entreprise à mission*, with more than 99% of shareholders approving the inclusion of social and environmental objectives in its bylaws. Nine months later, in March 2021, the board removed chairman and CEO Emmanuel Faber with immediate effect, after activist investors — Artisan Partners and Bluebell Capital Partners among them — attacked the company's sales and profit performance (FoodNavigator, 2021). Faber himself had said the legal change meant shareholders had

"toppled the statue of Milton Friedman"; nine months later the same shareholders removed him (FoodNavigator, 2021; Time, 2021). Purpose did not protect him. The lesson we drew is not that purpose fails, but that **shared value is not automatic**: it has to be engineered into the business model and demonstrated in results, or short-term capital-market pressure will win the argument.

Time horizon	Relationship between profit and social value	What management must therefore do
Short term (quarters)	Often contradictory — social investment is a cost, and cutting corners raises margins	Defend long-term commitments explicitly, and explain them to investors before they are tested
Medium term (years)	Mixed — reputation, talent retention and customer loyalty begin to repay	Measure social performance, not only financial performance
Long term (decades)	Complementary — no firm outlives its society or its environment	Design the business model so that solving the problem is the source of the profit (CSV)

Table 1. Profit and social value across time horizons (Team A-7 synthesis)

A finance perspective. This is not only an ethical claim. Social and environmental failures appear in the accounts eventually — as fines, litigation, recalls, lost customers and higher risk premia — and higher risk raises the cost of capital. Ignoring social value does not remove the cost. It defers it and hides it off the income statement until it arrives all at once.

3. Q2 — Effectiveness, Efficiency, or Equity?

Prof. Park defines the three values of management as follows (Park, 2026a):

Value	Definition (Park, 2026a)	In plain words
Effectiveness	The degree to which corporate mission and objectives are achieved and targeted problems are solved	Doing the right things
Efficiency	The degree to which costs of resources (money, time, labour, information) are minimized; a key determinant of productivity	Doing things right
Equity	The degree to which stakeholders perceive fairness and justice in their relationships with the company (employees, customers, investors, partners, society, environment)	Doing things fairly

Table 2. The three values of management

3.1 Our answer: equity

Team A-7 chose **equity**. Our metaphor: **efficiency is the engine, effectiveness is the steering wheel, and equity is the road**. A fast car with excellent steering still crashes if there is no road beneath it. Equity is not more important because the other two do not matter — a firm that is unprofitable and aimless helps nobody. It is more important because it is the one value without which the other two turn destructive.

3.2 Efficiency without equity destroys value

The most expensive corporate failures of the last decade were not failures of efficiency. They were efficiently pursued at the expense of fairness to a stakeholder group that had no vote in the decision.

Case	What was optimized	Who was treated unfairly	Outcome
Volkswagen “Dieselgate” (2015)	Engine cost and performance; software detected and cheated emissions tests	Customers, the public, the environment	Up to 11 million vehicles affected worldwide; costs passed US\$30 billion by 2017 and continued to rise
Wells Fargo (2016)	Cross-selling targets — products per customer	Customers, and the front-line employees held to the targets	Falsified records and unauthorized accounts, 2002–2016; US\$3 billion settlement with the DOJ and SEC, February 2020
Boeing 737 MAX (2018–19)	Development speed and cost against Airbus; avoiding pilot retraining	Passengers, pilots, and engineers who raised concerns	346 deaths in two crashes; worldwide grounding of the fleet
Aral Sea (Soviet era)	Cotton output, via diversion of the Amu Darya and Syr Darya	Local communities and every future generation	From one of the world’s largest lakes (68,000 km ² in 1960) to about 10% of its original size by 2007

Table 3. *Efficiency without equity (sources listed in References)*

The Aral Sea case matters to this group personally. It also makes the theoretical point precisely: equity extends not only to stakeholders alive today but to those not yet born. That is the Brundtland Commission’s definition of sustainability, which Prof. Park quotes directly — providing for the needs of the present generation without compromising the ability of future generations to meet theirs (WCED, 1987; Park, 2026a).

3.3 Effectiveness depends on equity to stay honest

Wells Fargo was, in the narrow sense, *effective*. It hit its sales targets. The problem was that the target itself was unjust, so hitting it destroyed the company’s reputation and cost it three billion dollars. “Doing the right things” only means something if the definition of *right* has been tested against every stakeholder. Equity is that test.

Park's definition also stresses that equity is what stakeholders **perceive**. That is not a weakness in the definition; it is the point. As the lecture puts it, corporate management is fundamentally about managing human behaviour — of employees, customers, partners, investors, society and the natural system — and behaviour follows from paradigm and attitude (Park, 2026a). People act on what they perceive. Costco is the standing counter-example to the idea that fairness is a cost: it pays an average of about US\$26 an hour against roughly US\$17 across the retail sector, and runs employee turnover of about 8% against roughly 60% industry-wide (Harvard Business School Institute for Business in Global Society, 2025). Equity is not the opposite of performance. It is one of its main drivers.

3.4 A case from our own region: Uzbek cotton

For decades Uzbekistan's cotton harvest depended on state-organized forced labour, and at earlier stages on child labour. In narrow cost terms this was "efficient": labour was close to free. The consequence was that 331 global brands and retailers — including Gap, C&A and Tesco — signed the Uzbek Cotton Pledge and refused to buy Uzbek cotton at all (Cotton Campaign, 2022). No efficiency gain survives the loss of the entire export market.

After years of reform, the ILO's third-party monitoring of the 2021 harvest concluded that systemic forced and child labour had been eradicated, and on 10 March 2022 the Cotton Campaign ended its call for a global boycott (ILO, 2022; Cotton Campaign, 2022). Uzbek textiles could finally enter the global value chain. The sequence is unambiguous, and it is the strongest evidence our group found for its own position: **equity was not a cost imposed on the industry. It was the precondition for the industry's access to the market.**

3.5 Where our group disagreed

Not all of us started from equity. Some of us argued that effectiveness must come first, because fairness without a mission has no direction — a company can be scrupulously fair and still fail everyone by achieving nothing. We took the objection seriously, and it changed how we state our conclusion. Our settled position is that **effectiveness determines the destination, but equity determines whether anyone will travel with you.** A mission that stakeholders experience as unfair will not be achieved for long, however efficiently the organization pursues it.

4. Q3 — What Is the Meaning of Conscious Business?

4.1 Definitions

Mackey and Sisodia (2013) describe conscious capitalism through four tenets: a **higher purpose** beyond profit, **stakeholder orientation**, **conscious leadership** and a **conscious culture**. Prof. Park frames consciousness as two dimensions of awareness: **mission** — *Who are we? What is our ultimate purpose?* — and **impact** — *What are my footsteps on Earth? What is the right thing to do?* (Park, 2026a).

Our group's working definition combines the two: **a conscious business is one that knows why it exists and sees the full consequences of what it does, and acts on both.** The operative word is *awareness*. An unconscious business is usually not wicked; it is blind. It does not see the pollution it exports to its neighbours, the coercion three tiers down its supply chain, or the purpose it quietly stopped having. Park diagnoses the

source of that blindness in the unintended side effects of industrialization — technocracy (reliance on materialism and technical efficiency), relativism (indifference to universal value and purpose), and the Anthropocene attitude of dominance and exploitation — which together produce a **divided world view** (Park, 2026a). Conscious business is the work of putting the picture back together.

4.2 Good intentions are not consciousness: the TOMS case

TOMS Shoes built its brand on “One for One”: a pair donated for every pair sold. It was a genuinely influential idea and it helped move social entrepreneurship into the mainstream. But donated shoes arrive in markets where local cobblers and traders sell shoes, and researchers and development practitioners argued that the model risked undercutting exactly the local economies it meant to help, while leaving the causes of poverty untouched. In 2021, on its fifteenth anniversary, TOMS retired One for One and committed instead to giving at least one third of its annual net profits to grassroots organizations chosen with local partners (Fashionista, 2021).

Our group thinks this makes TOMS a **better** example of conscious business, not a worse one. The company measured its own footsteps, did not like what it saw, and rebuilt the model. **Consciousness includes awareness of unintended impact, and the humility to change course when the evidence demands it.** A firm that cannot revise its own good idea is not conscious; it is merely committed.

4.3 Conscious business in practice

- **Patagonia — purpose written into ownership.** In September 2022, founder Yvon Chouinard transferred the company: 2% of voting stock to the Patagonia Purpose Trust, which protects the mission, and 98% of non-voting stock to the Holdfast Collective, a non-profit that receives the profits and funds environmental work. “Instead of going public,” he wrote, “we’re going purpose... Earth is now our only shareholder” (Chouinard, 2022). The purpose that survives its founder has to be built into the legal structure, not the mission statement.
- **Yuhan Corporation — conscious leadership, Korea.** Ilhan New (유일한) retired in 1969 and handed Yuhan to a successor who was not a blood relative, at a time when Korean founders reflexively passed firms to their sons. On his death in March 1971 his will left the bulk of his wealth to a public foundation for social and educational causes, now the Yuhan Foundation (Yuhan Corporation, n.d.). Conscious leadership means seeing yourself as the steward of an institution rather than its owner.
- **SK Group — measuring impact, including your own harm.** Under its Double Bottom Line framework SK has measured the social value created by its affiliates in monetary terms every year since 2018, reaching 32.2 trillion won for 2025, roughly double the 2018 figure. The detail our group found most persuasive is that the total is a *net* figure: SK reports its environmental impact as **negative 3.1 trillion won** and subtracts it (Korea Herald, 2026). A firm willing to publish its own damage in the same table as its own contribution has crossed from advertising into accounting. You cannot be conscious of what you refuse to measure.

4.4 The Caravanserai Test

To make this operational rather than aspirational, our group proposes a four-question test named for our group. A firm that can answer all four honestly is conscious; one that avoids any of them is not.

Question	Dimension	What it tests
Why do we keep the inn?	Purpose (mission)	Does the firm know why it exists, beyond making money?
Who is staying at our inn tonight?	Stakeholder orientation	Does the firm see every stakeholder, including nature and future generations?
What do we leave on the road behind us?	Impact (footsteps)	Does the firm know, publish and own its externalities?
Would every traveler call it fair?	Equity	Do stakeholders themselves perceive the relationship as just?

Table 4. The Caravanserai Test for conscious business (Team A-7 framework)

Applied to the cases above: Patagonia answers the first question in its ownership documents, SK answers the third in its annual figures, TOMS failed the third and then went back and answered it, and Volkswagen and Wells Fargo could not have answered the fourth at any point in the years their scandals were running.

5. Responsible Management and Our Fields of Study

The course asks us to connect this paradigm to our own disciplines. Each member reflected on what responsible management means inside their field:

- **Finance (Shakhriyor).** ESG factors now enter valuation directly. Social and environmental failures are future cash outflows and higher risk, and higher risk is a higher discount rate. Responsible management, priced correctly, is simply accurate financial management over a longer horizon.
- [Member — major: 1–2 sentences on how the responsible management paradigm applies in your field]
- **Finance (Mukaddas).** In finance, responsible management means recognizing that capital allocation is never neutral: whoever decides which firms get funded is also deciding which business models survive. Applying the paradigm here means judging a company by the value it creates for all its stakeholders, not only by the return it promises the people providing the money.
- [Member — major: 1–2 sentences]
- [Member — major: 1–2 sentences]
- [Member — major: 1–2 sentences]
- [Member — major: 1–2 sentences]

6. Conclusion

We began with Captain LaRue, who turned a cargo ship into a lifeboat. He did not abandon efficiency — he moved more than 14,000 people out of a collapsing war zone in three days, on a ship built for twelve passengers. He did not abandon effectiveness — he completed the voyage without losing a single life. What he settled first was *whom he was serving*. That order of operations is, in our group's view, what great management means.

Our three conclusions are one argument. **The purpose** of the corporation is the common good; profit is how a firm proves the value it creates is real and sustains its ability to create more. **Equity** is the most important of the three management values because it is the ground that keeps efficiency from curdling into exploitation and keeps effectiveness aimed at a defensible target. And **conscious business** is the awareness — of mission and of footprint — that lets a firm hold the two together, including the humility to reverse a decision its own measurements condemn.

The caravanserais of the Silk Road stood for centuries because every traveler was treated fairly and therefore every traveler came back. We believe the companies that last through this century will be managed on the same principle. Responsible management is not charity bolted onto business. It is a business that has remembered why it exists.

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